

Step-by-Step Foundation for Teaching Accounting

1. Understand the Accounting Equation

- **Assets = Liabilities + Equity**
- This is the backbone of all accounting systems. Every transaction affects this equation.

2. Master Double-Entry Bookkeeping

- Every transaction has **two sides**: a debit and a credit.
- Learn how to record transactions in **journals** and post them to **ledgers**.

3. Learn the Accounting Cycle

This is the full process from transaction to financial statements:

1. Identify and analyze transactions
2. Record in the journal
3. Post to the ledger
4. Prepare a **trial balance**
5. **Adjust entries**
6. Prepare an **adjusted trial balance**
7. Create financial statements
8. Close the books